

JPM Emerging Markets Local Currency Bond Active UCITS ETF

Tickers: JLOC

Topline

Monthly returns	
Fund	Benchmark
▲ 1.09%	▲ 0.90%
Benchmark : J.P. Morgan GBI-EM Global Diversified (Total Return Gross)	
Markets Risk sentiment improved in August as resilient activity supported equities and softened the US dollar. The US curve flattened on higher rate expectations, while planned Treasury buybacks anchored the long end. Credit and EM debt gained, helped by tighter spreads and carry demand.	
Helped Long rates in Turkey and the Philippines, long FX in in Columbia.	
Hurt Long FX in Chile and short FX in Thailand and Israel.	
Outlook We remain tactical in EM local-currency debt, with FX anchoring the strategy. In rates, we prefer selective duration where risks are priced or moves are country-specific. In FX, we keep modest positive beta with a carry bias, while monitoring the Fed and the US dollar for clearer direction. EM credibility and supportive technicals help, but sticky inflation, softer fiscal trends and potential Fed hikes argue against a broad structural trade.	

Past performance and forecast is not a reliable indicator of current and future results.

Fund Overview

Investment objective

The objective of the Sub-Fund is to achieve a long-term return in excess of J.P. Morgan GBI-EM Global Diversified (Total Return Gross) ("the Benchmark") by actively investing primarily in emerging market local currency debt securities, using financial derivative instruments to gain exposure to underlying assets, where appropriate.

Trading information

Stock exchange	Exchange ticker	Trading currency	Bloomberg ticker	Reuters RIC	Sedol
London Stock Exchange	JLOC	USD	JLOC LN	JLOC.L	BTKSZR8
Deutsche Borse	JLOC	EUR	JLOC GY	JLOC.DE	BRC81J6
Borsa Italiana	JLOC	EUR	JLOC IM	JLOC.MI	BRC81K7
SIX SWISS	JLOC	USD	JLOC SW	JLOC.S	BRC81L8

Month in Review

- **We started the month moderately long in rates** and rotated within EM local exposures, adding in Mexico and Colombia while reducing exposure in Czechia, with a continued focus on bottom-up opportunities. Mid-month, we added exposure incrementally in Poland while maintaining little outright rates risk overall and keeping duration positioning more relative-value-oriented.
- **The broader duration backdrop remained unattractive**, so we continued to favour bottom-up stories while hedging some of the duration component through core rates. We also continued to review key longs and planned to add Poland linkers. Frontier carry exposure remained broadly unchanged through the period, with an explicit intent to reassess and potentially reduce it after the summer given the overall level of risk being carried.
- **In FX, we shifted from a previously restrained stance** to running a modest long FX beta, largely by building higher-conviction longs while cutting back the short book. As the month progressed, we added selectively in Europe and parts of Asia, while remaining cautious on BRL and waiting for more attractive levels. Later in the month, we took profits where moves looked stretched, used options to keep some upside and kept overall risk calibrated to key US dollar levels, with flexibility to re-add exposure if the backdrop improved.

Looking Ahead

- **Resilient global growth**, a manageable inflation shock and a tilt toward a weaker US dollar create a supportive backdrop for EM debt into H2 2026. EM growth is projected around 4.1%, with an improving EM–DM growth advantage as Europe slows, while China’s 2026 growth is nudged up to 4.6%: strong Q1 momentum eased in Q2, but helped by targeted fiscal support. Energy risks look less severe than initially feared as Hormuz concerns fade and offsets temper the shock. Key risks remain renewed US exceptionalism, additional Fed hikes, a deeper/longer crisis and EM/DM political volatility.
- **Inflation in EM has risen to roughly 3.8%** from 2.8% pre-crisis – well below the 2022 surge and concentrated in parts of Asia – while demand pressures appear limited and expectations relatively anchored. Upside risks include second-round effects and El Niño, varying by country. EM central banks are largely fine-tuning policy rather than starting new tightening cycles, helped by high real rates versus DMs. Sovereign fundamentals remain solid, with stable debt/deficits, continued rating upgrades and limited default risk even under a prolonged oil shock. Historically, EM debt has held up in hiking cycles driven by growth/productivity more than inflation or fiscal fears.

Opinions, estimates, forecasts, projections and statements of financial market trends are based on market conditions at the date of the publication, constitute our judgment and are subject to change without notice. There can be no guarantee they will be met.
All data is sourced by J.P. Morgan Asset Management and is correct as at the date of this commentary.

Performance and positioning

%	1M	3M	6M	YTD	1Y	Since inception
Fund	1.09	1.72	-1.02	2.89	7.68	11.13
Benchmark	0.90	1.40	-0.73	2.74	7.65	11.46
Excess return (geometric)	0.19	0.32	-0.29	0.15	0.03	-0.30

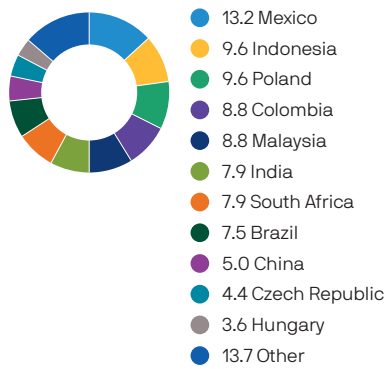
Past performance and forecast is not a reliable indicator of current and future results.

Source: J.P. Morgan Asset Management. Share class performance is shown based on the NAV (net asset value) of the share class with income (gross of shareholder tax) reinvested including actual ongoing charges excluding any entry and exit fees. Performance over one year is annualised. Performance is shown based on the NAV which may not be the same as the market price of the ETF. Individual shareholders may realize returns that are different to the NAV based returns. Share class inception date is 05.03.2025.

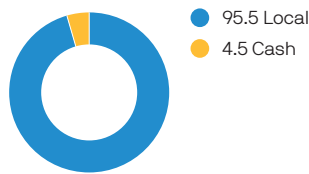
Holdings

TOP 10	Coupon rate	Maturity date	% of assets
Federation of Malaysia	3.58	15/7/32	4.9
Government of Poland	4.00	25/7/31	4.5
Government of Indonesia	6.50	15/2/31	3.8
Government of Brazil	10.00	1/1/29	3.2
Government of Poland	2.00	25/8/36	3.2
Government of Brazil	10.00	1/1/31	3.0
Government of Mexico	8.00	15/4/32	3.0
Government of Mexico	8.50	1/3/29	2.8
Government of India	7.10	8/4/34	2.7
Government of Mexico	8.00	21/2/36	2.6

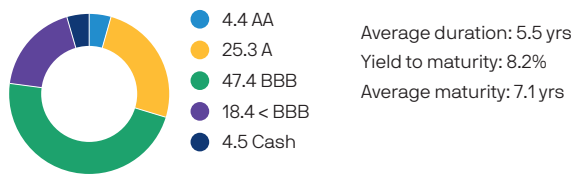
Country breakdown (%)



Sector breakdown (%)



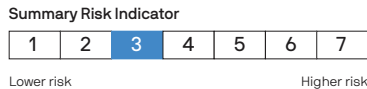
Bond quality breakdown (%)



RISK PROFILE

The value of your investment may fall as well as rise and you may get back less than you originally invested. Government debt securities, including those issued by local governments and government agencies, are subject to market risk, interest rate risk and credit risk. Governments may default on their sovereign debt and holders of sovereign debt (including the Sub-Fund) may be requested to participate in the rescheduling of such debt and to extend further loans to governmental entities. The value of debt securities may change significantly depending on economic and interest rate conditions as well as the credit worthiness of the issuer. Issuers of debt securities may fail to meet payment obligations or the credit rating of debt securities may be downgraded. These risks are typically increased for below investment grade debt securities which may also be subject to higher volatility and lower liquidity than investment grade debt securities. The credit worthiness of unrated debt securities is not measured by reference to an independent credit rating agency. Distressed debt securities carry a high risk of loss, as the issuers are either in severe financial distress or in bankruptcy. Contingent convertible debt securities are likely to be adversely impacted should specific trigger events occur (as specified in the contract

terms of the issuing company). This may be as a result of the security converting to equities at a discounted share price, the value of the security being written down, temporarily or permanently, and/or coupon payments ceasing or being deferred. Emerging markets may be subject to increased political, regulatory and economic instability, less developed custody and settlement practices, poor transparency and greater financial risks. Emerging market and below investment grade debt securities may also be subject to higher volatility and lower liquidity than non-emerging market and investment grade debt securities respectively. Investment in onshore debt securities issued within the PRC through Bond Connect are subject to regulatory change and operational constraints which may result in increased counterparty risk. Sustainability risk may materially negatively impact the financial condition or operating performance of an issuer and therefore the value of that investment. In addition, it may increase the Sub-Fund's volatility and/or magnify pre-existing risks to the Sub-Fund. The Sub-Fund seeks to provide a return above the Benchmark; however the Sub-Fund may underperform the Benchmark. Further information about risks can be found in the "Risk Information" section of the Prospectus.



The risk indicator assumes you keep the product for 5 years. The risk of the product may be significantly higher if held for less than the recommended holding period. In the UK, please refer to the synthetic risk and reward indicator in the latest available key investor information document.

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